Section No:

AOU
الجامعة العربية المفتوحة
Arab Open University

ID: _____

Name: _____

Faculty of Business Studies

B207B

Shaping Business Opportunities I

Mid-term Exam/Version B

Spring 2025-2026

15/April/2026

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Arab Open University
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Number of Exam Pages: 10 (including this cover sheet)	**Time Allowed: 2 hours**

1. Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2. Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3. This is a **CLOSED** book examination. NO documents of any kind are allowed.
4. This Mid-term exam will be marked out of 100 marks and is worth 30% of the total mark of the B207B cou
5. Do **NOT** write your answers in pencil except for graphs/sketches.
6. Students are **NOT** allowed to use any type of dictionary or mobile phone during the examination.
7. Any work crossed out will **NOT** be marked.
8. Any form of cheating will **NOT** be tolerated and will subject you to the AOU Cheating Policy.

FOR OFFICIAL USE ONLY

Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		
Q4		

Comments (FOR OFFICIAL USE ONLY):

Total: ____ / 100

Final Mark:

Reviewer's signature:

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QUESTION ONE (25 MARKS)

- *You should attempt to answer ALL questions in this section.*

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Case Study:

FreshBakes is a local bakery that supplies bread and cakes to several supermarkets. However, the supermarkets usually pay their invoices only after 60 to 90 days. This long wait created cash flow problems, making it difficult for FreshBakes to pay for flour, sugar, and staff wages on time. To overcome this, FreshBakes turned to **debt factoring**. By selling its unpaid invoices to a factoring company, FreshBakes received most of the payment immediately, while the factoring company later collected the full amount from the supermarkets.

Q1 a. (15 Marks).

Discuss debt factoring as a form of raising finance for small and medium-sized enterprises (SMEs). In your answer, explain how debt factoring works and how it can help businesses manage their cash flow needs.

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Q1 b. (10 Marks)

Based on the above case, why was FreshBakes facing cash flow problems, and how did debt factoring help the company overcome them?

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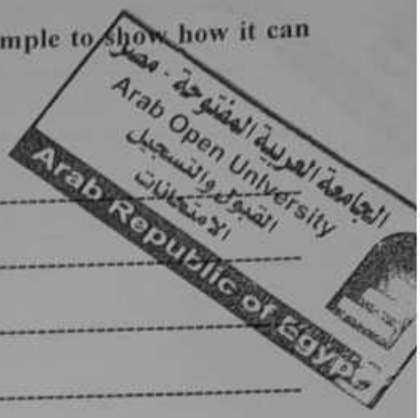
QUESTION TWO (25 MARKS):

Explain the concept of the Balance of Payments (BoP). Then, describe its three main components and illustrate each with an example of how it applies in international trade.

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QUESTION THREE (25 MARKS):

Explain the four key factors in Porter's Diamond Model that influence a country's competitive advantage. For each factor, provide a simple example to show how it can affect the success of businesses in international markets.



QUESTION FOUR (25 MARKS):

Explain the concept of Corporate Social Responsibility (CSR). Then, describe the three main approaches to CSR—Market-Driven Approach, Government Intervention, and Corporate Self-Regulation—and discuss the associated challenges with each approach.

